MUKTA ARTS LIMITED
an entertainment company
Regd. Office : Mukta House, Behind Whistling Woods Institute, Filmcity Complex,
Goregaon (East), Mumbai - 400 065. TEL .: 91-22-3364 9400

May 25, 2021

BSE Limited Phiroze Jeejeebhoy Towers, 1st Floor, Dalal Street, Mumbai – 400 001	**National Stock Exchange of India Limited** Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051

Ref:- Name of Scrip/Scrip Code: BSE: 532357
NSE: MUKTA ARTS –EQ

Kind Attn: **Corporate Relations Department**

Dear Sirs,

Sub: Outcome of the Board Meeting and Results for quarter and year ended 31st March, 2021

Further to our letter dated May 15, 2021, and pursuant to the Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the Board of Directors of the Company at its meeting held today viz., May 25, 2021 via through video conferencing (VC) and have considered and approved the following:

1. **Financial Results** - The Audited Standalone and Consolidated Financial Results along with segment wise results of the Company for the year ended March 31, 2021 in pursuance to SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015.

2. **Annual General Meeting** – 39th Annual General Meeting will be held through Video Conference (VC) / Other Audio-Visual Means (OAVM) on Thursday, 23rd day of September 2021.

3. **Book Closure** - The Register of Members and Share Transfer Books of the Company will remain closed from Friday, 17th September, 2021 to Friday, 24th September, 2021 **(both days inclusive)** for the purpose of ensuing Annual General Meeting.

Pursuant to Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the following:

1. Audited Standalone and Consolidated Financial Results for the quarter and year ended March 31, 2021 along with segment wise results and cash flow statement;

2. Independent Auditor's Report on the Audited Standalone and Consolidated Financial Results for the quarter and year ended March 31, 2021;

3. Statement on Impact of Audit Qualifications on Standalone and Consolidated results for the year ended March 31, 2021;

4. A press release for the quarter ended March 31, 2021.

The meeting of the Board of Directors of the Company commenced at 12.00 pm and concluded at 3.30 pm.

You are requested to take the same on record.

Thanking you,

Yours Faithfully,

For and on behalf of
Mukta Arts Limited



Monika Shah
Company Secretary and Compliance Officer
Encl: As above.

MUKTA ARTS LIMITED
CIN:L92110MH1982PLC028180
Regd. Office: Mukta House, Behind Whistling Woods Institute, Film City Complex, Goregaon (E), Mumbai-400 065

Part 1 - Statement of Audited Consolidated Financial Results for the Quarter and Year ended 31 March 2021

(Rs in lakhs, except per share data)

S.No	Particulars	Standalone					Consolidated				
		3 Months Ended			12 Months Ended		3 Months Ended			12 Months Ended	
		March 31, 2021	December 31, 2020	March 31, 2020	**March 31, 2021**	March 31, 2020	**March 31, 2021**	December 31, 2020	March 31, 2020	**March 31, 2021**	March 31, 2020
		(Audited)	(Unaudited)	(Audited)	**(Audited)**	(Audited)	**(Audited)**	(Unaudited)	(Audited)	**(Audited)**	(Audited)
1	Revenue from operations	**226.66**	848.23	448.00	**1,863.11**	2,160.81	**1,699.71**	2,304.98	4,056.34	**7,288.53**	17,168.89
2	Other Income	**321.30**	306.48	271.07	**1,117.67**	1,097.62	**434.79**	361.76	183.43	**1,480.21**	857.47
3	**Total Revenue**	**547.96**	1,154.71	719.07	**2,980.78**	3,258.43	**2,134.50**	2,666.74	4,239.77	**8,768.73**	18,026.36
4	**Expenses**										
	a) (Increase)/ decrease in stock in trade	**-**	-	-	**-**	-	**(5.58)**	(9.12)	0.69	**32.13**	(19.11)
	b) Purchase of food and beverage	**-**	-	-	**-**	-	**34.90**	8.35	129.10	**64.70**	554.96
	c) Distributor and producer's share	**-**	-	-	**-**	-	**176.92**	245.65	746.91	**440.15**	3,764.77
	d) Other direct operation expenses	**30.72**	225.13	-	**255.85**	372.59	**13.69**	27.65	29.57	**59.71**	220.87
	e) Employee benefits expense	**115.43**	77.80	143.15	**366.24**	557.15	**557.13**	467.05	878.21	**2,108.42**	3,298.03
	f) Amortisation of intangible assets (including films rights)	**-**	-	-	**-**	-	**40.70**	29.18	24.50	**132.98**	66.55
	g) Depreciation of tangible assets	**45.40**	45.69	52.04	**204.09**	231.67	**430.70**	445.85	501.29	**1,786.51**	1,849.78
	h) Finance costs	**154.46**	152.02	143.16	**584.58**	689.29	**339.32**	414.29	392.87	**1,368.34**	1,564.34
	i) Other expenses	**250.09**	145.26	246.00	**665.08**	954.66	**1,338.14**	850.94	2,083.67	**3,855.63**	7,507.58
	Total expenditure	**596.10**	645.90	584.35	**2,075.84**	2,805.36	**2,925.92**	2,479.84	4,786.81	**9,848.57**	18,807.77
5	**Profit/ (loss) before tax (3-4)**	**(48.14)**	508.81	134.72	**904.94**	453.07	**(791.41)**	186.90	(547.04)	**(1,079.83)**	(781.41)
6	Tax Expenses										
	Current tax	**43.50**	65.00	-	**130.00**	26.00	**43.54**	65.04	15.15	**130.17**	41.15
	Deferred tax	**29.26**	(11.18)	(12.33)	**27.23**	(90.23)	**(47.97)**	(18.05)	(55.71)	**(77.08)**	14.08
7	**Profit/ (loss) from ordinary activities after tax**	**(120.90)**	454.99	147.05	**747.71**	517.30	**(786.98)**	139.91	(506.48)	**(1,132.92)**	(836.64)
8	Extraordinary Items	**49.63**	-	-	**49.63**	-	**49.63**	-	-	**49.63**	-
9	Share of profit/(loss) in Joint ventures	**-**	-	-	**-**	-	**(17.49)**	(3.19)	(14.97)	**(47.61)**	(11.99)
10	**Net profit/(loss) for the period**	**(170.52)**	454.99	147.05	**698.08**	517.30	**(754.85)**	136.72	(521.45)	**(1,230.16)**	(848.63)
11	Other Comprehensive Income (net of tax)	**6.23**	-	(13.80)	**6.23**	(13.80)	**16.14**	(6.87)	(38.98)	**(4.48)**	(56.65)
12	Total Comprehensive Income for the period (transferred to BS- Other Eq	**(164.29)**	454.99	133.25	**704.31**	503.50	**(738.71)**	129.85	(560.43)	**(1,234.64)**	(905.28)
13	Basic and diluted earning per share (EPS) (not annualised)	**(0.73)**	2.01	0.59	**3.12**	2.23	(3.27)	0.58	(2.48)	**(5.47)**	(4.01)
	Part II										
A	**Particulars of shareholdings**										
1	Public shareholding										
	a) Number of shares	6,691,910	6,691,910	6,691,910	6,691,910	6,691,910	6,691,910	6,691,910	6,691,910	6,691,910	6,691,910
	b) Percentage of shareholding	29.63%	29.63%	29.63%	29.63%	29.63%	29.63%	29.63%	29.63%	29.63%	29.63%
2	Promoter and promoter group shareholding										
	a) Pledge / encumbered										
	i) Number of shares	-	-	-	-	-	-	-	-	-	-
	ii) % of shares (as a % of the total shareholding of promoter and promoter group)	-	-	-	-	-	-	-	-	-	-
	iii) % of shares (as a % of the total share capital of the Company)	-	-	-	-	-	-	-	-	-	-
	b) Non encumbered										
	i) Number of shares	15,893,290	15,893,290	15,893,290	15,893,290	15,893,290	15,893,290	15,893,290	15,893,290	15,893,290	15,893,290
	ii) % of shares (as a % of the total shareholding of promoter and promoter group)	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
	iii) % of shares (as a % of the total share capital of the Company)	70.37%	70.37%	70.37%	70.37%	70.37%	70.37%	70.37%	70.37%	70.37%	70.37%
B	**Investor complaints**										
	Particulars										
	Pending at the beginning of the quarter				Nil						
	Received during the quarter				Nil						
	Disposed off during the quarter				Nil						
	Remaining unresolved at the end of the quarter				Nil						

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Segment - wise Revenue, Results, Assets and Liabilities

(Rs in lakhs)

S.No	Particulars	Standalone					Consolidated				
		3 Months Ended			12 Months Ended		3 Months Ended			12 Months Ended	
		March 31, 2021	December 31, 2020	March 31, 2020	**March 31, 2021**	March 31, 2020	**March 31, 2021**	December 31, 2020	March 31, 2020	**March 31, 2021**	March 31, 2020
		(Audited)	(Unaudited)	(Audited)	**(Audited)**	(Audited)	**(Audited)**	(Unaudited)	(Audited)	**(Audited)**	(Audited)
1	**SEGMENT REVENUE**										
	Software division	**29.10**	692.50	225.85	**1,122.20**	1,168.87	**29.10**	246.40	230.12	**1,122.20**	1,173.13
	Equipment division (including other income)	**8.89**	0.20	0.60	**11.19**	15.16	**8.89**	(4.39)	0.60	**11.19**	15.16
	Theatrical exhibition division	**-**	-	-	**-**	-	**673.55**	269.97	2,238.94	**1,588.65**	9,993.88
	Education	**-**	-	-	**-**	-	**1,140.34**	1,459.53	1,484.80	**5,069.95**	5,578.46
	Others	**443.61**	155.54	546.57	**984.66**	1,301.81	**443.61**	31.27	546.57	**984.66**	1,301.81
	Total	**481.59**	848.24	773.03	**2,118.05**	2,485.84	**2,295.48**	2,002.79	4,501.03	**8,776.65**	18,062.44
	Less: Inter segment revenue	**-**	-	-	**-**	-	**-**	-	-	**-**	-
	Net sales/ Income from operation	**481.59**	848.24	773.03	**2,118.05**	2,485.84	**2,295.48**	2,002.79	4,501.03	**8,776.65**	18,062.44
2	**SEGMENT RESULTS**										
	Profit/ (loss) before tax and finance costs										
	from each Segment										
	Software division	**(65.90)**	376.53	58.68	**517.78**	200.58	**(65.90)**	383.40	62.86	**517.78**	204.84
	Equipment division	**(10.38)**	(5.67)	(22.95)	**(26.62)**	(36.35)	**(10.38)**	(4.68)	(22.95)	**(26.62)**	(36.35)
	Theatrical exhibition division	**-**	-	-	**-**	-	**(522.54)**	(421.28)	(668.85)	**(1,857.44)**	(927.15)
	Education	**-**	-	-	**-**	-	**19.69**	411.94	293.07	**872.99**	796.32
	Others	**225.12**	82.82	346.62	**576.79**	846.02	**225.12**	14.99	346.53	**576.79**	846.02
	Total	**148.84**	453.68	382.34	**1,067.94**	1,010.23	**(354.01)**	384.36	10.66	**83.50**	883.67
	Less: Finance costs	**154.46**	152.01	143.16	**584.58**	689.29	**339.32**	414.29	392.87	**1,368.34**	1,564.34
	Other un-allocable expenditure						**-**		-		
	Net of unallocable income	**42.52**	(207.15)	104.45	**(421.57)**	(132.13)	**98.08**	(216.82)	164.82	**(205.01)**	100.74
	Total profit before tax	**(48.14)**	508.82	134.73	**904.93**	453.07	**(791.41)**	186.89	(547.04)	**(1,079.83)**	(781.41)
	Add : Share of profit/(loss) in Joint ventures	**-**	-	-	**-**	-	**(17.49)**	(3.19)	(14.97)	**(47.61)**	(11.99)
	Total profit before tax and after share in Joint venture	**(48.14)**	508.82	134.73	**904.93**	453.07	**(808.91)**	190.08	690.41	**(1,127.44)**	453.07
3	**SEGMENT ASSETS**										
	Software division	**1,901.09**	2,760.17	1,941.69	**1,901.09**	1,941.69	**1,901.09**	2,760.17	1,941.69	**1,901.09**	1,941.69
	Equipment division	**114.95**	136.94	130.46	**114.95**	130.46	**114.95**	136.94	130.46	**114.95**	130.46
	Theatrical exhibition division	**612.28**	373.09	610.28	**612.28**	610.28	**8,865.37**	8,968.65	10,039.33	**8,865.37**	10,039.33
	Education	**-**	-	-	**-**	-	**5,517.92**	4,908.59	4,908.51	**5,517.92**	4,908.51
	Others	**3,080.82**	2,179.18	2,382.97	**3,080.82**	2,382.97	**3,080.82**	2,179.18	2,382.97	**3,080.82**	2,382.97
	Unallocable	**19,414.56**	19,735.55	16,867.83	**19,414.56**	16,867.83	**4,897.69**	5,607.74	4,947.28	**4,897.69**	4,947.28
4	**SEGMENT LIABILITIES**										
	Software division	**2,912.67**	1,561.34	365.23	**2,912.67**	365.23	**2,912.67**	1,857.68	365.23	**2,912.67**	365.23
	Equipment division	**5.51**	0.78	105.30	**5.51**	105.30	**5.51**	0.78	105.30	**5.51**	105.30
	Theatrical exhibition division	**776.78**	875.87	876.08	**776.78**	876.08	**2,826.85**	4,592.77	6,687.16	**2,826.85**	6,687.16
	Education	**-**	-	-	**-**	-	**3,881.31**	3,578.72	4,169.45	**3,881.31**	4,169.45
	Others	**494.33**	904.08	547.82	**494.33**	547.82	**494.33**	904.08	547.82	**494.33**	547.82
	Unallocable	**6,144.70**	6,889.04	5,953.58	**6,144.70**	5,953.58	**14,571.46**	13,066.94	11,607.70	**14,571.46**	11,607.70

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	NOTES:
1	The above financial results have been reviewed by the audit committee and approved by the Board of Directors at the meeting held on 25 May 2021.
2	In terms of order dated 9.02.2012 passed by the High Court of Judicature at Bombay ('High Court'), Maharashtra Film Stage and Cultural Development Corporation ('MFSCDC') raised net demand of Rs. 591,966,210 and asked Whistling Woods International Limited (WWIL) to vacate the premises. The Company's and WWIL's Review Petitions were heard by High Court and a stay was granted on 30 July 2014. However, the High Court ordered the Company/WWIL to pay Rs 100,038,000 by January 2015 against arrears of rent for the years 2000-01 to 2013-14 and Rs 4,500,000 per annum from the financial year 2014-15. As per the terms of the said Order, till 31 December 2020 Rs 113,538,000 has been paid by the Company and Rs 13,500,000 has been paid by WWIL. The State Government of Maharashtra and MFSCDC challenged the Order of the High Court in the Supreme Court which was dismissed by the court on 22 September 2014 with recourse to the State Government of Maharashtra to make an application to Bombay High Court. The Maharashtra State Cabinet has on 25 September 2018 approved allotment of 5.5 acres of land on lease basis to the Company. However the matter is sub-juidice and is subject to final disposal by the Honorable Bombay High Court. The auditors continue to modify their report on the said matter.
3	The business of the Mukta Group has been affected by the ongoing CoVID-19 pandemic. During the time the lockdown is in effect and social distancing norms are in place, the Entertainment Industry shall be adversely impacted. The Mukta Group has assessed the impact on its operations including revenue and the carrying value of its assets. For all the Group Companies, wherever applicable, steps have been taken to mitigate future losses by cutting operational costs, including by reduction of employee costs and by invoking force majeure for rental payments. For assessing future impacts, all available information has been disseminated. While the impact that is possible to assess till the date of approval of these accounts has been considered, the Group is continuously monitoring the situation as it evolves. The short term impact is expected to be severe; however, the long term impact is not expected to be substantial.
4	Figures for the corresponding quarter of the previous year have been regrouped / rearranged to conform to current quarter's presentation.

For and on behalf of the Board of directors

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Rahul Puri

Managing Director

DIN:01925045

Date : 25 May 2021

Place : Mumbai

MUKTA ARTS LIMITED

Statement of assets and liabilities as at 31 March 2021

(Rs in lacs)

Particulars	Standalone		Consolidated	
	As at 31 March 2021 (Audited)	As at 31 March 2020 (Audited)	**As at 31 March 2021 (Audited)**	As at 31 March 2020 (Audited)
ASSETS				
Non-current assets				
Property, plant and equipment	**1,351.85**	1,506.63	**6,654.39**	7,687.52
Right-of-use assets	**89.71**	103.40	**2,352.65**	3,125.46
Capital work-in-progress	**12.87**	12.87	**460.71**	373.69
Investment property	**1,371.28**	1,406.79	**1,396.88**	1,434.72
Other Intangible assets	**518.25**	444.87	**962.75**	969.85
Intangible Assets under Development	**466.52**	589.64	**823.48**	858.14
Financial assets				-
Investments	**2,678.28**	2,678.28	**358.72**	394.33
Loans	**3,744.06**	3,494.06	**-**	-
Others	**3,744.73**	3,576.75	**2,231.90**	2,171.76
Deferred income tax assets (net)	**267.09**	294.32	**267.09**	190.01
Other non-current assets	**1,148.17**	1,174.11	**1,318.39**	1,364.06
Current assets				
Inventories	**-**	-	**75.87**	116.07
Financial assets				
Trade receivables	**1,918.74**	1,133.38	**2,073.91**	1,583.46
Cash and cash equivalents	**575.29**	170.08	**1,401.42**	321.32
Bank balances other than above	**479.27**	461.54	**479.27**	461.54
Loans	**5,662.56**	3,799.24	**1,263.69**	1,213.45
Others	**692.60**	700.87	**821.64**	853.53
Other Current assets	**402.43**	386.39	**1,435.08**	1,421.32
Total Assets	**25,123.70**	21,933.22	**24,377.84**	24,540.23
EQUITY AND LIABILITIES				
Equity				
Equity Share capital	**1,129.26**	1,129.26	**1,129.26**	1,129.26
Other Equity	**13,660.44**	12,956.12	**(1,443.55)**	(261.69)
Minority Interest	**-**	**-**	**408.37**	391.63
Non-current liabilities				
Financial liablities				
Borrowings	**4,669.49**	4,627.05	**5,591.40**	6,195.17
Other financial liabilities	**393.89**	426.98	**3,790.53**	4,180.61
Provisions	**135.42**	126.81	**514.83**	495.11
Other non-current liabilities	**449.01**	503.00	**206.03**	241.60
Current liabilities				
Financial liablities				
Borrowings	**700.00**	820.00	**1,134.89**	1,335.27
Trade payables	**177.10**	258.98	**2,834.31**	3,412.54
Other financial liabilities	**622.64**	591.63	**3,556.65**	3,046.81
Other current liabilities	**2,755.24**	225.88	**5,650.86**	3,324.14
Provisions	**431.21**	267.51	**1,004.26**	1,049.78
Total Equity and Liabilities	**25,123.70**	21,933.22	**24,377.84**	24,540.23

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Mukta Arts Limited
Cash Flow Statement for the year ended 31 March 2021

Particluars	Standalone		Consolidated	
	31/Mar/2021	31/Mar/2020	**31/Mar/2021**	31/Mar/2020
Cash flow from operating activities				
Profit before tax	**90,494,113**	45,307,971	**(107,983,425)**	(78,140,947)
Non-cash adjustments to reconcile Profit before tax to net cash flows				
Depreciation and amortisation	**20,408,788**	23,166,660	**191,948,801**	191,633,192
Bad debts/ advances/ intangible assets under development written-	**1,771,787**	4,797,952	**6,172,789**	40,658,605
Finance costs	**58,457,876**	68,929,077	**136,833,862**	156,434,251
Interest income	**(81,268,647)**	(72,482,976)	**(9,071,098)**	(8,497,691)
(Gain) on sale of tangible assets (net)	**(3,020,961)**	(546,736)	**(4,526,965)**	(546,736)
Operating profit before working capital changes	**177,337,069**	114,479,918	**213,373,965**	301,540,674
Movements in working capital:				
Increase/(Decrease) in other current liabilities	**202,936,180**	820,329	**(4,552,022)**	23,306,865
Increase/(Decrease) in other financial liabilities	**3,101,217**	20,429,239	**11,976,190**	420,619,025
Increase/(Decrease) in other non current liabilities	**(4,538,666)**	32,867,479	**(3,557,285)**	54,056
Increase/(Decrease) in trade payables	**(8,188,330)**	3,287,459	**57,823,045**	37,704,837
Increase/(Decrease) in current provisions	**16,370,239**	(16,994,574)	**120,338,773**	24,077,955
(Increase)/Decrease in inventories	**-**	-	**4,020,105**	(1,422,481)
(Increase)/Decrease in trade receivables	**(78,535,845)**	16,373,235	**(49,045,327)**	56,662,806
(Increase) /Decrease in other non- current assets	**(22,405,766)**	(15,955,169)	**4,567,040**	5,490,239
(Increase)/Decrease in short-term loans and advances	**(236,331,910)**	(51,556,027)	**(5,024,144)**	(3,914,247)
(Increase)/Decrease in other financial assets	**16,797,362**	(18,206,471)	**(6,014,716)**	(22,971,633)
(Increase) /Decrease in other current assets	**15,193,543**	(15,624,285)	**(1,376,105)**	(38,957,493)
(Increase)/Decrease in other current financial assets	**826,607**	749,292	**3,189,099**	(14,062,152)
Cash generated from (used in) operations	**82,561,700**	70,670,426	**345,718,617**	661,128,452
Taxes paid (net)	**(31,858,473)**	(39,151,205)	**(15,467,558)**	(8,998,545)
Net cash generated from (used in) operating activities (A)	**50,703,227**	31,519,221	**330,251,059**	652,129,907
Cash flow from investing activities				
Investments in equity shares of subsidiaries	**-**	-	**(3,561,673)**	(73,221)
Purchase of fixed assets (tangible and intangible)	**(24,019,944)**	(26,168,895)	**(11,225,145)**	(529,490,084)
Proceeds from maturity/ (reinvestment) of fixed deposits, net	**(1,415,164)**	(24,759,202)	**(1,415,164)**	(24,759,202)
Proceeds from sale of fixed assets	**7,851**	1,826,146	**1,949,146**	1,949,146
Interest income	**81,268,647**	72,482,976	**9,071,098**	7,890,633
Net cash used in investing activities (B)	**55,841,390**	23,381,025	**(5,181,738)**	(544,482,728)
Cash flow from financing activities				
Secured loan (repaid)/taken,net	**4,244,306**	24,126,316	**(25,376,909)**	13,756,055
Unsecured loan (repaid)/taken , net	**(12,000,000)**	-	**(55,037,558)**	5,937,991
Finance charges (net)	**(58,457,876)**	(68,929,077)	**(136,833,862)**	(156,434,251)
Net cash flow from / (used in) financing activities (C)	**(66,213,570)**	(44,802,761)	**(217,248,329)**	(136,740,204)
Net increase /(decrease) in cash and cash equivalents (A + B + C)	**40,331,047**	10,097,485	**107,820,992**	(29,093,025)
Cash and cash equivalents at the beginning of the year	**16,969,566**	6,872,081	**32,093,363**	61,186,388
Cash and cash equivalents at the end of the year	**57,300,612**	16,969,566	**139,914,354**	32,093,363

RAHUL PURI

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Date: 2021.05.25 15:41:35 +05'30'

Phone No.: 2887 8000
2887 0069

Uttam Abuwala Ghosh & Associates

Website: http://www.uttamabuwala.com *Chartered Accountants*

Independent Auditor's Report on the Standalone Financial Results

To
The Board of Directors
Mukta Arts Limited

Report on the Audit of the Standalone Annual Financial Statement

Qualified Opinion:

We have audited the accompanying standalone annual financial results of Mukta Arts Limited (hereinafter referred to as the "Company") for the year ended 31 March 2021, attached herewith ('the Statement'), being submitted by the Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations').

In our opinion and to the best of our information and according to the explanations given to us, except the possible effects of the matters described in "**Basis for Qualified Opinion**" Para below, these financial results:

i. are presented in accordance with the requirements of Regulation 33 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015 in this regard; and

ii. give a true and fair view in conformity with the recognition and measurement principles laid down in the applicable Indian Accounting Standards and other accounting principles generally accepted in India of the **Net Profit** and other comprehensive income and other financial information of the company for the year ended March 31, 2021.

Basis for Qualified Opinion:

As at March 31, 2021, the company's investment in its subsidiary (including deemed investment). Whistling woods International Limited (WWIL) a joint venture between the company and Maharashtra Film, Stage and Cultural Development Corporation Limited (MFSCDCL), aggregates to Rs. 19,95,11,218/- and loans and advances, deposits, interest receivable and rent receivable aggregate to Rs. 62,36,40,584/- recoverable from WWIL. As fully explained in Note 42 to the accompanying audited financial statements, the Order of February 9, 2012 passed by the High Court of judicature at Bombay ('High Court'), had quashed the joint Venture Agreement ('JVA') between the company and Maharashtra Film Stage Cultural Development Corporation ('MFSCDCL'). Maharashtra Film Stage and Cultural Development Corporation ('MFSCDC') raised net demand of Rs. 59,19,66,210/- and asked WWIL to vacate the premises. WWIL's petition for special leave to appeal filed with the Supreme Court of India had also been dismissed. The Company and WWIL had filed application to review the said order with the High Court and an Interim stay was granted on July 30, 2014 which required deposit of Rs.10,00,38,000/- by January 2015 against payment of arrears of rent for the year 2000-01 to 2013-14 and payment of Rs.45,00,000/- per annum from Financial Year 2014-15 till the settlement of the case, to MFSCDCL. As per the terms of the said Order, till financial year 2016-17, Rs. 11,35,38,000/- has been paid by the Parent Company and for financial year 2017-18 to 2020-21 Rs. 45,00,000/- per annum has been paid by WWIL. The State Govt. of Maharashtra and MFSCDCL challenged the order of the High Court in the Supreme Court which was dismissed by the Supreme Court on September 22, 2014. The amount so paid / being paid by the Company have been accounted under Non - Current Other Financial Assets in the Standalone Financial Statements to be adjusted on the settlement of the case.

Additionally, without giving effect to the matter as stated above, WWIL's net worth stands fully eroded as at 31 March, 2021. Having regard to the circumstances explained above and pending final outcome of the matter under litigation, the Company has not made any adjustment to the carrying value of investment in and amounts due from WWIL and the deposit paid consequent to the High Court's Orders. Accordingly, the impact on the carrying value of

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investments, recoverability of loans and advances and consequential impact on profit / loss for the year and reserves is not determinable.

Management's Responsibility for the audit of the Financial Statements:

These Standalone annual financial results have been prepared on the basis of the standalone annual financial statements.

The Company's Management and the Board of Directors are responsible for the preparation and presentation of these standalone annual financial results that give a true and fair view of the netprofit and other comprehensive income and other financial information in accordance withrecognition and measurement principles laid down in Indian Accounting Standards prescribedunder Section 133 of the Act and other accounting principles generally accepted in India and incompliance with Regulation 33 of the Listing Regulations. This responsibility also includesmaintenance of adequate accounting records in accordance with the provisions of the Act forsafeguarding of the assets of the Company and for preventing and detecting frauds and otherirregularities; selection and application of appropriate accounting policies; making judgments andestimates that are reasonable and prudent; and the design, implementation and maintenance ofadequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of thestandalone annual financial results that give a true and fair view and are free from materialmisstatement, whether due to fraud or error.

In preparing the standalone annual financial results, the Management and the Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Annual Financial Results

Our objectives are to obtain reasonable assurance about whether the Standalone annual financial results as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone annual financial results.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain Professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone annual financial results, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentionalomissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3) (i) of the Act, we are also responsible for expressing our opinion through a separate report on the complete set of financial statements on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures in the financial results made by the Management and Board of Directors.

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- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the appropriateness of this assumption. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone annual financial results or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the standalone annual financial results, including the disclosures, and whether the standalone annual financial results represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Other Matter

We report that the figures for the quarter ended March 31, 2021 represent the derived figures between the audited figures in respect of the financial year ended March 31, 2021 and the published unaudited year-to-date figures up to December 31, 2020 being the date of the end of the third quarter of the current financial year, which were subjected to a limited review by us.

For Uttam Abuwala Ghosh & Associates
Chartered Accountants
Firm No. 111184W

Uttam Abuwala Ghosh & Associates Mumbai

CA Subhash Jhunjhunwala
Partner
Membership No.: 016331
UDIN: 21016331AAAABT6827

Date: May 25, 2021
Place: Mumbai

Phone No.: 2887 8000
2887 0069

Uttam Abuwala Ghosh & Associates

Website: http://www.uttamabuwala.com *Chartered Accountants*

Independent Auditor's Report on Consolidated Financial Results

To
The Board of Directors Mukta Arts Limited

Report on the Audit of the Consolidated Annual Financial Statement

Qualified Opinion:

We have audited the accompanying consolidated annual financial results of Mukta Arts Limited (hereinafter referred to as the ''Holding Company") and its subsidiaries (Holding Company and its subsidiaries together referred to as "the Group") and its Joint Ventures for the year ended 31 March 2021, attached herewith, being submitted by the Holding Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulation').

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of reports of other auditors on separate audited financial statements of the subsidiaries and joint venture, except the possible effects of the matters described in "Basis for Qualified Opinion" Para below, the aforesaid consolidated annual financial results:

a) include the annual financial results of the following entities

i. Subsidiaries:

1. Mukta Creative Ventures Limited
2. Whistling Woods International Limited
3. Mukta A2 Cinemas Limited
4. Mukta Tele Media Limited
5. Connect.1 Limited
6. Mukta A2 Multiplex SPC (incorporated in Bahrain)
7. Whistling Woods International Foundation (100% Subsidiary of Whistling Woods International Limited

ii. Joint Ventures:

1. Mukta VN Films Limited

b) are presented in accordance with requirements of Regulation 33 of SEBI (Listing Obligation and Disclosure Requirement) Regulations, 2015 as amended; and

c) gives a true and fair view in conformity with the aforesaid Indian Accounting Standards and other accounting principles generally accepted in India, of the consolidated net loss, total comprehensive income (loss) and other financial information of the group and its joint venture, for the year ended March 31, 2021.

Basis for Qualified Opinion:

I. As at March 31, 2021, the company's investment in its subsidiary (including deemed investment), Whistling woods International Limited (WWIL) a joint venture between the company and Maharashtra Film, Stage and Cultural Development Corporation Limited (MFSCDCL), aggregates to Rs. 19,95,11,218/- and loans and advances, deposits, interest receivable and rent receivable aggregate to Rs. 62,36,40,584/- recoverable from WWIL. As fully explained in Note 44 to the accompanying audited financial statements, the Order of February 9, 2012 passed by the High Court of judicature at Bombay ('High Court'), had quashed the joint Venture

Agreement ('JVA') between the company and Maharashtra Film Stage Cultural Development Corporation ('MFSCDCL'). Maharashtra Film Stage and Cultural Development Corporation ('MFSCDC') raised net demand of Rs. 59,19,66,210/- and asked WWIL to vacate the premises. WWIL's petition for special leave to appeal filed with the Supreme Court of India had also been dismissed. The Company and WWIL had filed application to review the said order with the High Court and an Interim stay was granted on July 30, 2014 which required deposit of Rs.10,00,38,000/- by January 2015 against payment of arrears of rent for the year 2000-01 to 2013-14 and payment of Rs.45,00,000/- per annum from Financial Year 2014-15 till the settlement of the case, to MFSCDCL. As per the terms of the said Order, till financial year 2016-17, Rs. 11,35,38,000/- has been paid by the Holding Company and for financial year 2017-18 to 2020-21 Rs. 45,00,000/- per annum has been paid by WWIL. The State Govt. of Maharashtra and MFSCDCL challenged the order of the High Court in the Supreme Court which was dismissed by the Supreme Court on September 22, 2014. The amount so paid / being paid by the Company have been accounted under Non - Current Other Financial Assets in the Consolidated Financial Statements to be adjusted on the settlement of the case. Management of WWIL informs that these will be accounted as an expense, if required, on the settlement of the case.

Additionally, without giving effect to the matter as stated above, WWIL's net worth stands fully eroded as at March 31, 2021. Having regard to the circumstances explained above and pending final outcome of the matter under litigation, the Company has not made any adjustment to the carrying value of investment in and amounts due from WWIL and the deposit paid consequent to the High Court's Orders. Accordingly, the impact on the carrying value of investments, recoverability of loans and advances and consequential impact on loss for the year and reserves is not determinable.

2. The Ministry of Corporate Affairs (MCA) on March 30, 2019 notified Ind AS 116 "Leases" as part of Companies (Indian Accounting Standards) Amendment Rules, 2019. The new standard is effective from reporting periods beginning on or after April 1, 2019. Pending final outcome of the matter under litigation as mentioned above, no adjustment has been made in WWIL's Financial Statements with respect to Ind AS 116 on the land rights.

3. WWIL has not carried out physical verification of Property, Plant and Equipment comprising of Plant & Machinery, Furniture and Fixtures and Office Equipment, whose written down value aggregates to Rs. 22,307,340 as at March 31, 2021, which is not in accordance with its phased program for physical verification of assets. Consequently, we are unable to comment on the existence, completeness and valuation of the aforesaid items of Property, Plant and Equipment.

Emphasis of Matter

1. We draw attention to Note no. 42 of the consolidated financial statements for the year ended 31st March, 2021 wherein the group has reported on the impact of COVID-19 Pandemic on the operations of the company. However, the actual impact may be significantly different than estimated as it is not possible to completely evaluate and quantify the impact of Covid-19 on the future operations of the company.

2. During the year ended March 31, 2021, Mukta A2 Cinemas Ltd (Subsidiary) has incurred loss before tax (including other comprehensive income) of Rs 19,63,32,415/- and has accumulated losses of Rs. 39,56,87,247/- as on March 31, 2021. Further the company's net worth has been fully eroded and there is a deficit of Rs. 38,06,87,247/- in the shareholder's equity as on March 31, 2021. These conditions indicate the existence of a material uncertainty which may cast significant doubt about the Company's ability to continue as a going concern. However, management believes that it is appropriate to prepare financial statements on a going concern basis.

3. There is an emphasis of matter with regards to the financial statements of Mukta A2 Multiplex S.P.C. on account of deficit in the Shareholder's Equity and the company's current liability exceeding its current assets as on March 31, 2021. These conditions indicate the existence of material uncertainty which may cast a significant doubt about the Company's ability to continue as a going concern.

Our report is not modified in respect of these matters.

Management's Responsibility for the audit of the Financial Statements:

These Consolidated annual financial results have been prepared on the basis of the Consolidated annual financial statements.

The Company's Management and the Board of Directors are responsible for the preparation and presentation of these Consolidated annual financial results that give a true and fair view of the net profit and other comprehensive income and other financial information in accordance with recognition and measurement principles laid down in Indian Accounting Standards prescribed under Section 133 of the Act and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Consolidated annual financial results that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Consolidated annual financial results, the Management and the Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Annual Financial Results

Our objectives are to obtain reasonable assurance about whether the Consolidated annual financial results as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated annual financial results.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Consolidated annual financial results, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is
- sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3) (i) of the Act, we are also responsible for expressing our opinion through a separate report on the complete set of financial statements on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures in the financial results made by the Management and Board of Directors.

- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the appropriateness of this assumption. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated annual financial results or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the Consolidated annual financial results, including the disclosures, and whether the Consolidated annual financial results represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial results/financial information of the entities within the Group to express an opinion on the Statement. We are responsible for the direction, supervision and performance of the audit of financial information of such entities included in the statement of which we are the independent auditors. For the other entities included in the Statement, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Other Matter

(a) The Statement include the audited financial results of six subsidiary whose financial statements reflect total assets of Rs. 63,70,49,690/- as at 31 March 2021, total revenue of Rs. 53,04,02,549/- and total net loss after tax of Rs.32,32,936/- for the quarter ended 31 March 2021 and for the period from 1 April 2020 to 31 March 2021 respectively, as considered in the Statement. These financial statements/ financial information have been audited by other auditors whose reports have been furnished to us by the management and our opinion on the consolidated Financial Results, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, is based solely on the reports of the other auditors and the procedures performed by us are as stated in paragraph above.

Our opinion on the Statement is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditor.

Uttam Abuwala Ghosh & Associates Mumbai

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Uttam Abuwala Ghosh & Associates

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(b) The consolidated financial statements also include the Group's share of net loss of Rs. 47,60,673/- for the year ended 31st March, 2021, as considered in the consolidated financial statements, in respect of one joint venture, whose financial statements / financial information have not been audited by us. These financial statements / financial information have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the consolidated financial results, in so far as it relates to the amounts and disclosures included in respect of joint ventures, is based solely on the reports of the other auditors and the procedures performed by us as stated in paragraph above.

Our opinion on the statements is not modified in respect of above matters.

(c) We report that the figures for the quarter ended March 31, 2021 represent the derived figures between the audited figures in respect of the financial year ended March 31, 2021 and the published unaudited year-to-date figures up to December 31, 2020 being the date of the end of the third quarter of the current financial year, which were subjected to a limited review by us.

For Uttam Abuwala Ghosh & Associates
Chartered Accountants
Firm Registration No. 111184W

Uttam Abuwala Ghosh & Associates Mumbai

CA Subhash Jhunjhunwala
Partner
Membership No.: 016331
UDIN: 21016331AAAABU7066

Date: May 25, 2021
Place: Mumbai

Statement on Impact of Audit Qualifications (for Audit Report on Standalone Financial Statements with Modified Opinion) submitted along-with Annual Audited Financial Results for the Year ended March 31, 2021 [*See* Regulation 33 / 52 of the SEBI (LODR) (Amendment) Regulations, 2016]

I.

Sl. No.	Particulars	Audited Figures (as reported before adjusting for qualifications)	Adjusted Figures (audited figures after adjusting for qualifications) *
1.	Total Income	29,80,77,938	29,80,77,938
2.	Total Expenditure	20,75,83,825	20,75,83,825
3.	Net Profit/(Loss) before Tax	9,04,94,113	9,04,94,113
4.	Earnings Per Share	3.12	3.12
5.	Total Assets	2,51,23,69,932	2,51,23,69,932
6.	Total Liabilities	1,03,34,00,092	1,03,34,00,092
7.	Net Worth	1,47,89,69,840	1,47,89,69,840
8.	Any other financial item(s) (as felt appropriate by the management)	-	-

** No adjustments made as impact not quantifiable*

II. Audit Qualifications:

1. Qualification 1:

a. Details of Audit Qualification:

As at March 31, 2021, the company's investment in its subsidiary (including deemed investment), Whistling woods International Limited (WWIL) a joint venture between the company and Maharashtra Film, Stage and Cultural Development Corporation Limited (MFSCDCL), aggregates to Rs. 19,95,11,218/- and loans and advances, deposits, interest receivable and rent receivable aggregate to Rs. 62,36,40,584/- recoverable from WWIL. As fully explained in Note 42 to the accompanying audited financial statements, the Order of February 9, 2012 passed by the High Court of judicature at Bombay ('High Court'), had quashed the joint Venture Agreement ('JVA') between the company and Maharashtra Film Stage Cultural Development Corporation ('MFSCDCL'). Maharashtra Film Stage and Cultural Development Corporation ('MFSCDC') raised net demand of Rs. 59,19,66,210/- and asked WWIL to

vacate the premises. WWIL's petition for special leave to appeal filed with the Supreme Court of India had also been dismissed. The Company and WWIL had filed application to review the said order with the High Court and an Interim stay was granted on July 30, 2014 which required deposit of Rs.10,00,38,000/- by January 2015 against payment of arrears of rent for the year 2000-01 to 2013-14 and payment of Rs.45,00,000/- per annum from Financial Year 2014-15 till the settlement of the case, to MFSCDCL. As per the terms of the said Order, till financial year 2016-17, Rs. 11,35,38,000/- has been paid by the Parent Company and for financial year 2017-18 to 2020-21 Rs. 45,00,000/- per annum has been paid by WWIL. The State Govt. of Maharashtra and MFSCDCL challenged the order of the High Court in the Supreme Court which was dismissed by the Supreme Court on September 22, 2014. The amount so paid / being paid by the Company have been accounted under Non - Current Other Financial Assets in the Standalone Financial Statements to be adjusted on the settlement of the case.

Additionally, without giving effect to the matter as stated above, WWIL's net worth stands fully eroded as at 31 March, 2021. Having regard to the circumstances explained above and pending final outcome of the matter under litigation, the Company has not made any adjustment to the carrying value of investment in and amounts due from WWIL and the deposit paid consequent to the High Court's Orders. Accordingly, the impact on the carrying value of investments, recoverability of loans and advances and consequential impact on profit / loss for the year and reserves is not determinable.

b. Type of Audit Qualification: Qualified Opinion

c. Frequency of Qualification: Repetitive (continuing since 2011)

d. For Audit Qualification(s) where the impact is quantified by the auditor, Management's Views: Not Applicable

e. For Audit Qualification where the impact is not quantified by the auditor:

(i) Management's Estimation on the impact of Audit Qualification:

Not Applicable

(ii) If management is unable to estimate the impact, reasons for the same:

Having regard to the circumstances and pending final outcome of the matter under litigation, the company has not made any adjustment to the carrying value of Investment in and amounts due from WWIL and the deposit paid consequent to the High Court's Orders. Accordingly the impact on the carrying value of investments, recoverability of loans and advances and consequential impact on loss for the year and reserves is not determinable.

(iii) Auditors' Comments on (ii) above:

As per the explanation provided by the Management in point (ii) above, the impact on the carrying value of investments, recoverability of loans and advances and consequential impact on loss for the year and reserves is not determinable.

For Mukta Arts Limited

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Rahul Puri
Managing Director

Sd/-

Kewal Handa
Chairman – Audit Committee

Prabuddha Dasgupta
Chief Financial Officer

Date: May 25, 2021
Place: Mumbai

For M/s Uttam Abuwala Ghosh & Associates
Chartered Accountants
Firm No. 111184W
(Statutory Auditors)

CA Subhash Jhunjhunwala
(Partner)
Membership No. 158844

Date: May 25, 2021
Place: Mumbai

Statement on Impact of Audit Qualifications (for Audit Report on Consolidated Financial Statements with Modified Opinion) submitted along-with Annual Audited Financial Results for the Year ended March 31, 2021 [*See* Regulation 33 / 52 of the SEBI (LODR) (Amendment) Regulations, 2016]

Sl. No.	Particulars	Audited Figures (as reported before adjusting for qualifications)	Adjusted Figures (audited figures after adjusting for qualifications) *
1.	Total Income	87,68,73,164	87,68,73,164
2.	Total Expenditure	98,48,56,589	98,48,56,589
3.	Net Profit/(Loss) before Tax	(10,79,83,425)	(10,79,83,425)
4.	Earnings Per Share	(5.47)	(5.47)
5.	Total Assets	2,43,77,84,029	2,43,77,84,029
6.	Total Liabilities	2,42,83,76,504	2,42,83,76,504
7.	Net Worth (excluding Minority Interest)	(3,14,29,342)	(3,14,29,342)
8.	Any other financial item(s) (as felt appropriate by the management)	-	-

No adjustments made for Qualifications as impact not quantifiable

II. Audit Qualifications:

1. Qualification 1:

a. Details of Audit Qualification:

1. As at March 31, 2021, the company's investment in its subsidiary (including deemed investment), Whistling woods International Limited (WWIL) a joint venture between the company and Maharashtra Film, Stage and Cultural Development Corporation Limited (MFSCDCL), aggregates to Rs. 19,95,11,218/- and loans and advances, deposits, interest receivable and rent receivable aggregate to Rs. 62,36,40,584/- recoverable from WWIL. As fully explained in Note 44 to the accompanying audited financial statements, the Order of February 9, 2012 passed by the High Court of judicature at Bombay ('High Court'), had quashed the joint Venture Agreement ('JVA') between the company and Maharashtra Film Stage Cultural Development Corporation ('MFSCDCL'). Maharashtra Film Stage and Cultural Development Corporation ('MFSCDC') raised net demand of Rs. 59,19,66,210/- and asked WWIL to vacate the premises. WWIL's petition for special leave to appeal filed with the Supreme Court of India had also been dismissed.

   The Company and WWIL had filed application to review the said order with the High Court and an Interim stay was granted on July 30, 2014 which required deposit of Rs.10,00,38,000/- by January 2015 against payment of arrears of rent for the year 2000-01 to 2013-14 and payment of Rs.45,00,000/- per annum from Financial Year 2014-15 till the settlement of the case, to MFSCDCL. As per the terms of the said Order, till financial year 2016-17, Rs.

11,35,38,000/- has been paid by the Holding Company and for financial year 2017-18 to 2020-21 Rs. 45,00,000/- per annum has been paid by WWIL. The State Govt. of Maharashtra and MFSCDCL challenged the order of the High Court in the Supreme Court which was dismissed by the Supreme Court on September 22, 2014. The amount so paid / being paid by the Company have been accounted under Non - Current Other Financial Assets in the Consolidated Financial Statements to be adjusted on the settlement of the case. Management of WWIL informs that these will be accounted as an expense, if required, on the settlement of the case.

Additionally, without giving effect to the matter as stated above, WWIL's net worth stands fully eroded as at March 31, 2021. Having regard to the circumstances explained above and pending final outcome of the matter under litigation, the Company has not made any adjustment to the carrying value of investment in and amounts due from WWIL and the deposit paid consequent to the High Court's Orders. Accordingly, the impact on the carrying value of investments, recoverability of loans and advances and consequential impact on loss for the year and reserves is not determinable.

2. The Ministry of Corporate Affairs (MCA) on March 30, 2019 notified Ind AS 116 "Leases" as part of Companies (Indian Accounting Standards) Amendment Rules, 2019. The new standard is effective from reporting periods beginning on or after April 1, 2019. Pending final outcome of the matter under litigation as mentioned above, no adjustment has been made in WWIL's Financial Statements with respect to Ind AS 116 on the land rights.

3. WWIL has not carried out physical verification of Property, Plant and Equipment comprising of Plant & Machinery, Furniture and Fixtures and Office Equipment, whose written down value aggregates to Rs. 22,307,340 as at March 31, 2021, which is not in accordance with its phased program for physical verification of assets. Consequently, we are unable to comment on the existence, completeness and valuation of the aforesaid items of Property, Plant and Equipment.

b. Type of Audit Qualification: Qualified Opinion

c. Frequency of Qualification: Repetitive (continuing since 2011)

d. For Audit Qualification(s) where the impact is quantified by the auditor, Management's Views: Not Applicable

e. For Audit Qualification where the impact is not quantified by the auditor:

(i) Management's Estimation on the impact of Audit Qualification:
Not Applicable

(ii) If management is unable to estimate the impact, reasons for the same:
Having regard to the circumstances and pending final outcome of the matter under litigation, the Company has not made any adjustment to the carrying value of investment in and amounts due from WWIL and the deposit paid consequent to the High Court's Orders. Accordingly, the impact on the carrying value of investments, recoverability of loans and advances and consequential impact on loss for the year and reserves is not

determinable. Further, the management of WWIL believes that it is appropriate to prepare the financial statements on a going-concern basis based on its assessment of the merits of the case, plans for the future and support provided by its holding company.

(iii) Auditors' Comments on (ii) above:

As per the explanation provided by the Management in point (ii) above, the impact on the carrying value of investments, recoverability of loans and advances and consequential impact on loss for the year and reserves is not determinable.

For Mukta Arts Limited

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Sd/-

Rahul Puri	**Kewal Handa**	**Prabuddha Dasgupta**
Managing Director	**Chairman – Audit Committee**	**Chief Financial Officer**

Date: May 25, 2021
Place: Mumbai

For Uttam Abuwala Ghosh & Associates
Chartered Accountants
Firm No. 111184W
(Statutory Auditors)

CA Subhash Jhunjhunwala
(Partner)
Membership No. 158844

Date: May 25, 2021
Place: Mumbai

MUKTA ARTS LIMITED
an entertainment company
Regd. Office : Mukta House, Behind Whistling Woods Institute, Filmcity Complex, Goregaon (East), Mumbai - 400 065. TEL .: 91-22-3384 9400

Mukta Arts' standalone PBT up from INR 454.90 lacs to INR 904.94 lacs

Mukta Arts Limited ended the year on a positive note with Standalone Q4 Revenue improving 18% from Q3 to Rs 720 lacs. Revenue for the year was Rs 3,258 lacs and PBT Rs 453 lacs.

Whistling Woods International, its subsidiary in the education space posted an 18% growth in revenue from 2019, ending the year at Rs 5583 lacs and a PBT of Rs 397 lacs

The subsidiaries in the cinema space saw movies underperforming in Q4, further aggravated by the CoVID-19 closures. Accounting policy changes based on IndAS requirements further hit their bottom line.

29th June 2020, Mumbai

RAHUL PURI

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Date: 2021.05.25 15:42:58 +05'30'